

Global Luxury Goods

Global Luxury Goods: June Swiss watch exports - Global demand remains on track for a fragile recovery



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Swiss watch exports grew by +11.2% in June 2026. Adjusted for the two additional working days in Jun'26 vs. Jun'25 would see exports growing +1.1%. Growth remains fragile; the month's data seems to be skewed upwards by a +103.5% YoY growth in exports to France. FHS had previously flagged that exports to France have experienced a significant increase since Dec'25, driven by its role as a logistics hub. A portion of reported exports are therefore likely only in-transit and not fully representative of domestic French demand. Excluding France would see exports growing +5.6% (-4% on a calendar adj. basis).

Swiss watch exports continue to enjoy broadly positive momentum. All regions reported positive growth in Jun'26, even after excluding France. YTD YoY growth now stands at -0.6% vs -2.9% last month. The USA, as the world's largest market, remains the key driver in this recovery, with +12.7% growth in Jun'26. Likewise, the UK saw +12.2% growth this month. Anglo-American demand for Swiss watches remains strong.

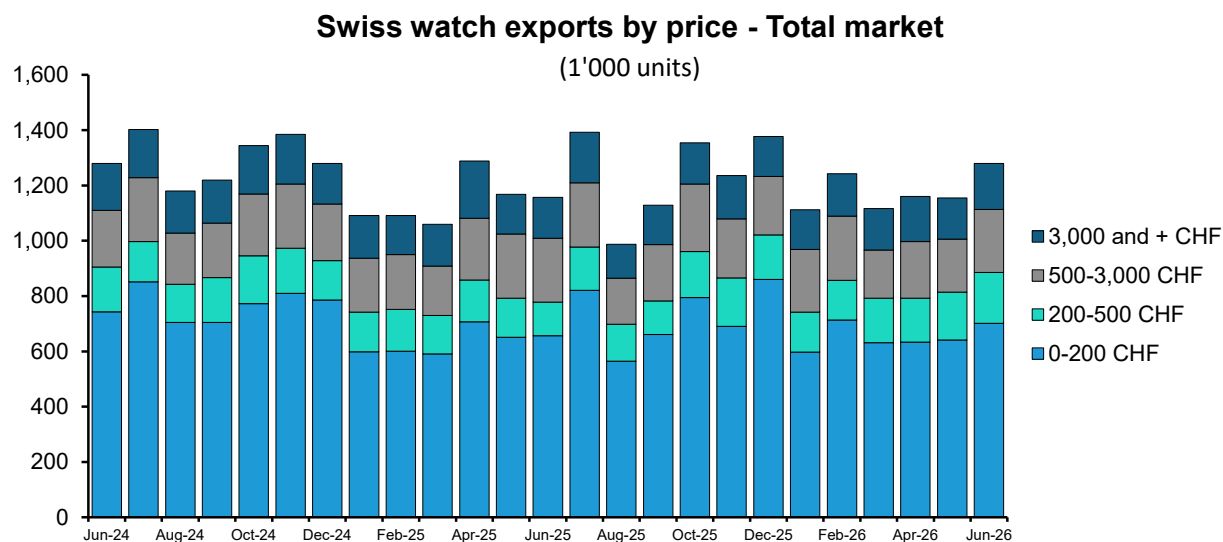
Notably, exports to the Middle East also saw strong growth at +23.8% in Jun'26. Part of this seems to reflect a catch-up in exports lost in March and April due to the war in the region. The Middle East ends 2Q26 with an overall growth rate of +1.4% for the quarter. However, it also marks an acceleration from 1Q26's trend of -5%. It remains too early to tell whether this growth is driven by momentary optimism from wholesale buyers about a return of tourists or reflects a more sustainable improvement in local demand.

Exports to Greater China remain tough. Exports to Mainland China shrank by -16.5% this month, while exports to Hong Kong grew +6.9%, bringing total growth in Greater China to approximately -5.7% (vs. -9.4% the month before). We believe Mainland Chinese consumers continue to exhibit relatively high price elasticity - flocking to Hong Kong, Japan, or South Korea to capture FX-driven price gaps, largely at the expense of Mainland demand. Exports to Japan grew +8.8% in Jun'26.

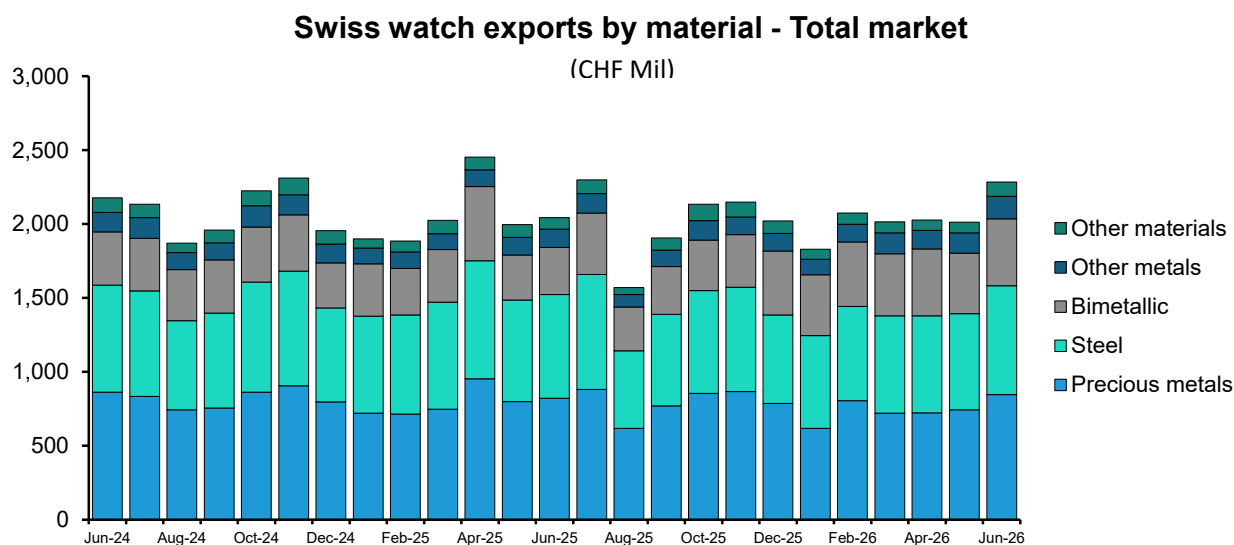
Performance by price point continues to be obscured by a volatile comparison base. Watches priced at CHF 200-500 grew at +51.3% and +54.1% in volume and value terms. Watches priced <CHF200 grew +6.8% and +9.9%, those priced >CHF 3,000 +12% and +14.2%, while those priced between CHF 500-3,000 shrank by -1.3% and -4.7%. On a rolling 12M basis, export volumes have increased by +2.9% YoY (vs. +1.2% in May'26), with watches priced between CHF 200-500 leading the charge with +6% growth on a 12m MA. The Swatch x AP 'Royal Pop', launched in May'26, is likely priced between CHF 200-500.

Performance by material also largely reflects 2025's tariff-induced volatility. Exports by value for bimetallic watches increased +42.1% YoY, followed by other metals at +22.9% and other materials at +22.6%. Precious metal and steel watches grew by +2.9% and +5%.

Swiss watch demand remains on track for a gradual recovery, for now. Growth in the US remains strong while the recovery in East Asia - though patchy - remains on the right track. However, global economic uncertainty remains a risk: higher oil prices, inflation, and a sudden reappearance of tariff risks could still threaten the industry's drawn-out recovery.

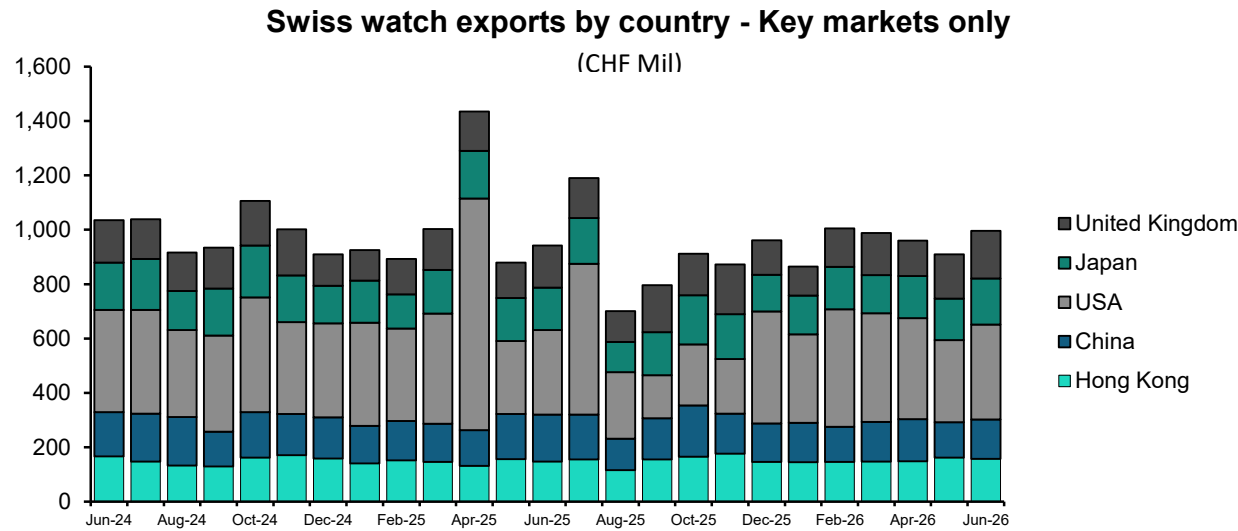
EXHIBIT 1: **Exports of Swiss Wristwatches watches by price categories**

Source: FHS, Bernstein analysis

EXHIBIT 2: **Swiss watch exports by material**

Source: FHS, Bernstein analysis

EXHIBIT 3: **Swiss watch exports by country in absolute numbers**



Source: FHS, Bernstein analysis

INVESTMENT IMPLICATIONS

The trajectory of a recovery in global luxury demand remains uncertain. We find two sources of volatility at play: a) underlying demand gyrations, as consumers navigate a fragile macro-economic environment and a tenuous and tense geopolitical environment; and b) short-term investors playing the sector long and short, amplifying upswings and downswings beyond natural news flow.

In this context of heightened uncertainty, we would take a more defensive posture with a core exposure to plain vanilla:

1) We would prefer high-quality names “at fair value”... **Richemont** is our top preference due to strong jewelry momentum and leadership, with **Brunello Cucinelli** also favored for their quality and potential mean reversion.

2) ...as well as the self-help stories with more promising trajectories. **LVMH** sits between high quality and self-help. Lingering concerns around the W&S turnaround and the Arnault family's ‘Darwinian’ succession process are counter-balanced by Dior's revival, cost efficiencies, and Louis Vuitton's strength; Turnaround at **Burberry** is well on track. One-year anniversary of the Burberry Forward strategy has paid off, in the form of improved brand momentum and stronger full-price sell-through. With a solid foundation in place, the next leg of turnaround will likely see focus shifting to driving store productivity, by capitalizing on the extended momentum in other categories from the core outerwear & scarf; **Ferragamo** is at the earlier stage of and trading at the lower end of the trading range. Recent conversation with management suggests a possible turnaround in the making, as a team of “old hands” are tackling key issues around the brand, assortment and retail store network.

BERNSTEIN TICKER TABLE

Ticker	Rating	20 Jul 2026		Price Target	TTM Rel. Perf.	Adjusted EPS				Adjusted P/E (x)		
		Cur	Closing Price			Cur	2025A	2026E	2027E	2025A	2026E	2027E
CFR.SW (Richemont)	O	CHF	196.75	240.00	22.5%	EUR	5.96	8.07	9.33	35.7	26.4	22.8
UHR.SW (Swatch)	M	CHF	203.00	200.00	23.2%	CHF	0.03	5.74	8.67	N/M	35.4	23.4
RMS.FP (Hermes)	O	EUR	1,676.00	2,150.00	(45.8)%	EUR	43.12	43.89	52.30	38.9	38.2	32.0
MC.FP (LVMH)	O	EUR	486.85	600.00	(14.7)%	EUR	22.73	22.22	26.71	21.4	21.9	18.2
KER.FP (Kering)	M	EUR	253.45	220.00	10.7%	EUR	4.35	6.13	9.86	58.3	41.3	25.7
BRBY.LN (Burberry)	O	GBP	1,047.50	1,300.00	(35.3)%	GBP	0.24	0.36	0.54	42.9	29.5	19.4
BC.IM (Brunello Cucinelli)	O	EUR	82.86	108.00	(37.9)%	EUR	1.99	2.26	2.65	41.7	36.7	31.3
SFER.IM (Ferragamo)	O	EUR	10.47	8.80	84.5%	EUR	(0.30)	0.04	0.15	(35.5)	278.9	71.4
ZGN	O	USD	13.95	14.00	48.0%	EUR	0.45	0.42	0.60	27.0	28.9	20.2
EDME			1,587.83									
EMLSF			6,214.99									

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

CFR.SW, BRBY.LN base year is 2026;

Source: Bloomberg, Bernstein estimates and analysis.

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